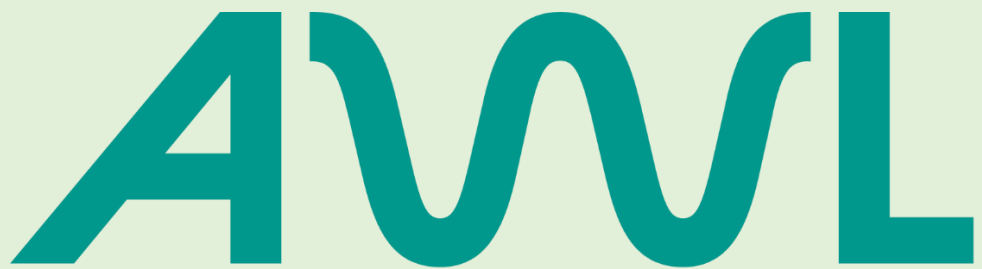


Equity Research Report

AWL AGRI BUSINESS LIMITED

BSE: 543458 | NSE: AWL

The logo for AWL Agri Business Limited, featuring the letters 'AWL' in a large, bold, teal-colored sans-serif font. The 'A' and 'L' are solid, while the 'W' is stylized with a wavy, undulating line through its center.

Agri business

FMCG | Edible Oils & Packaged Foods
India's Leading Farm-to-Fork Food Company

1. At a Glance – Key Metrics:

₹74000 Cr Total Revenue (FY26) ↑ 17.3% YoY	₹2,130 Cr EBITDA (FY26) ~3.90% Margin Expanding YoY	₹1,004.89 Cr Net Profit (FY26) EPS ₹8.16 Significant Turnaround	₹833.37 Cr Capital Expenditure (FY26) Ongoing capacity expansion
₹3928.25 Cr Operating Cash Flow (FY26) Strong cash generation	13.64% ROCE (FY26) Improving capital efficiency	10.52% Return on Equity (FY26) Strong turnaround from FY24	100+ Countries Brands & Distribution Fortune, Kohinoor & others

2. About the Company:

AWL Agri Business Limited (AWL) is one of India's leading edible oil and food FMCG companies, operating in the high-volume, essential-goods category with a strong pan-India distribution network. Formerly known as Adani Wilmar Limited, the company was incorporated as a 50:50 joint venture between the Adani Group and Wilmar International Limited of Singapore. Listed on the NSE (AWL) and BSE (543458) in February 2022, AWL has emerged as a formidable force in the Indian FMCG sector with revenues of ₹63,672 Crores in FY2024–25 and a commercial presence spanning domestic and international markets.

The company's flagship brand, Fortune, is India's most widely distributed edible oil brand, commanding a leadership position across refined oils including soya, sunflower, mustard, and rice bran oil. In addition to oils, AWL holds strong positions in staples (wheat flour, rice, pulses, sugar) and packaged foods (Kohinoor Basmati Rice, ready-to-cook products) — positioning it as a fully integrated food FMCG platform.

AWL's business is structured across three complementary segments: (i) Edible Oils – branded and commodity-grade refined oils marketed across India; (ii) Food & FMCG – premium packaged staples, rice, and processed food products leveraging the Fortune and Kohinoor brands; and (iii) Industry Essentials – bulk oils, vanaspati, and industrial food ingredients catering to QSR, hospitality, and institutional buyers. The company operates a vertically integrated farm-to-fork supply chain spanning raw material sourcing, seed crushing, refining, packaging, and nationwide distribution.

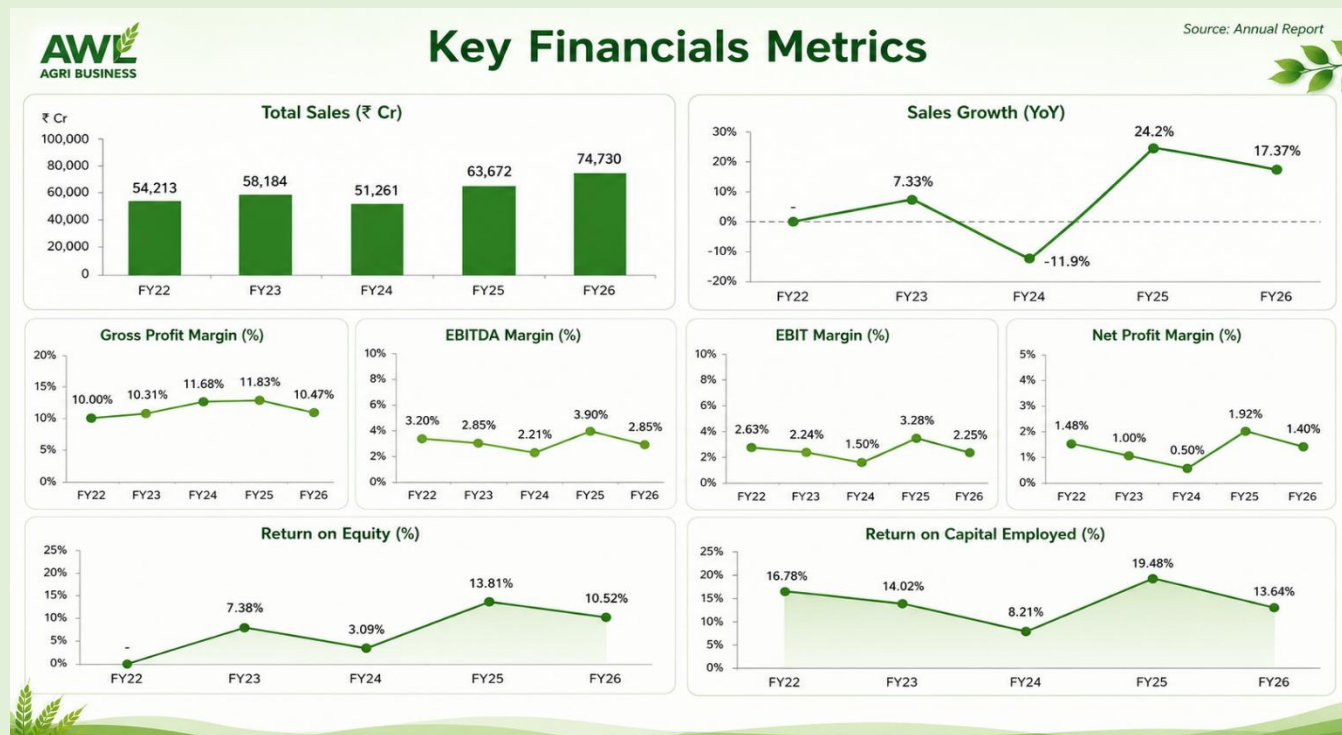
Corporate data: ISIN – INE044A01036 | Website – www.awl.in | Registered Office – India | CMP: ₹183.20 | Market Capitalisation: ₹24,612.6 Crores | Shares Outstanding: 129.97 Crore

3. Financial Performance:

Source: Annual Report | Financial Model

(Amounts in ₹ Crores unless otherwise stated)

Key Financials Metrics	FY22	FY23	FY24	FY25	FY26
Total Sales (₹ Cr)	54,213	58,184	51,261	63,672	74,730
Sales Growth (YoY)	-	7.33%	-11.9%	24.2%	17.37%
Gross Profit Margin	10.00%	10.31%	11.68%	11.83%	10.47%
EBITDA Margin	3.20%	2.85%	2.21%	3.90%	2.85%
EBIT Margin	2.63%	2.24%	1.50%	3.28%	2.25%
Net Profit Margin	1.48%	1.00%	0.50%	1.92%	1.40%
Return on Equity (%)	-	7.38%	3.09%	13.81%	10.52%
Return on Capital Employed (%)	16.78%	14.02%	8.21%	19.48%	13.64%



Key Observations:

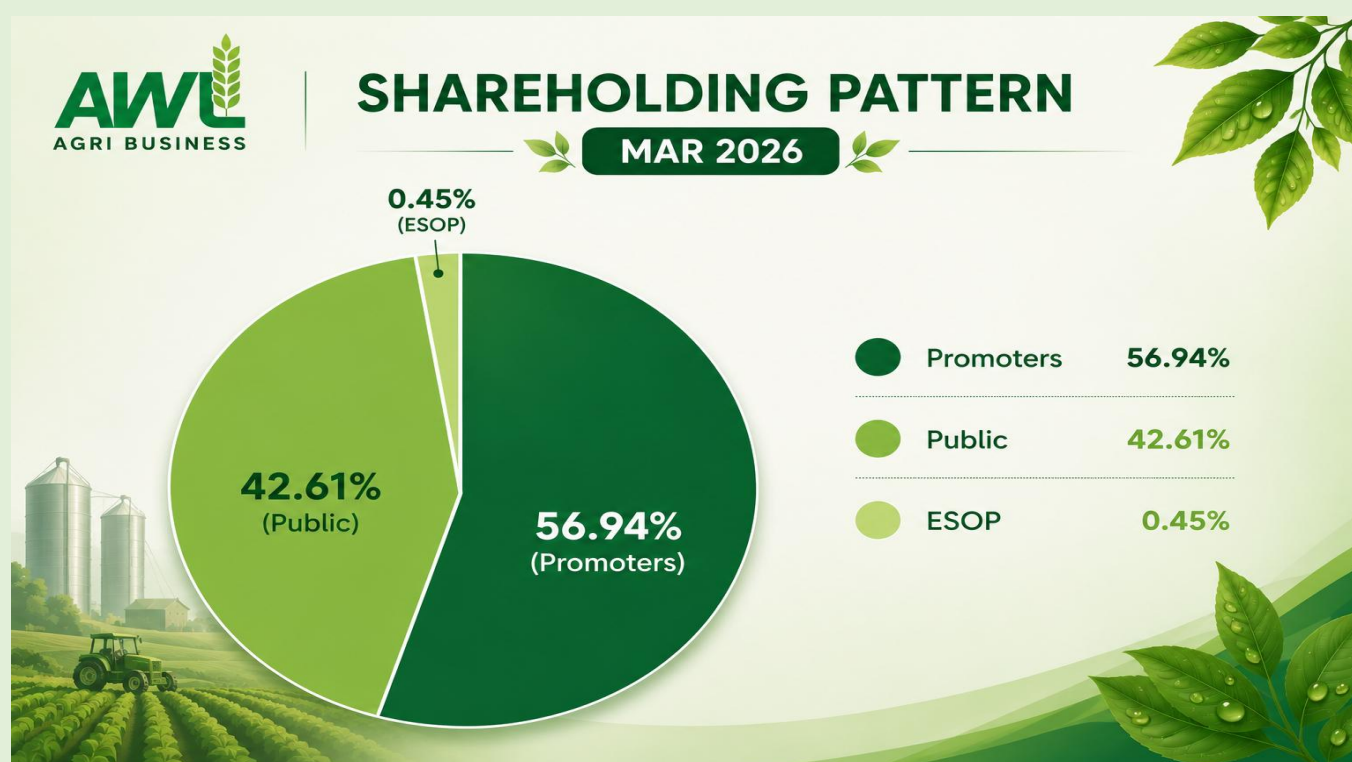
- Total Sales are projected to increase from ₹63,672 Cr in FY25 to ₹74,730 Cr in FY26, representing a healthy 17.37% YoY growth, indicating continued demand and business expansion.
- Profitability margins are expected to normalise in FY26 after the strong recovery witnessed in FY25. Gross Margin is projected to decline to 10.47%, EBITDA Margin to 2.85%, EBIT Margin to 2.25%, and Net Profit Margin to 1.40%, reflecting a more sustainable earnings profile.
- Despite the moderation in margins, the company is expected to maintain healthy operating performance, supported by steady revenue growth and efficient cost management.

- Return ratios are projected to moderate from FY25 levels, with ROCE declining to 13.64% and ROE to 10.52%, indicating normalisation in returns while continuing to generate healthy value for investors.
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- Overall, AWL Agri Business is expected to sustain strong revenue growth with stable profitability and healthy return ratios, reflecting a positive long-term business outlook despite near-term margin moderation.

4. Shareholding Pattern:

Source: nseindia.com

SHAREHOLDINGS	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26
Promoters	74.36%	74.36%	63.94%	56.94%	56.94%
Public	25.3%	25.3%	35.73%	42.73%	42.61%
ESOP	0.34%	0.34%	0.34%	0.34%	0.45%



Key Observations:

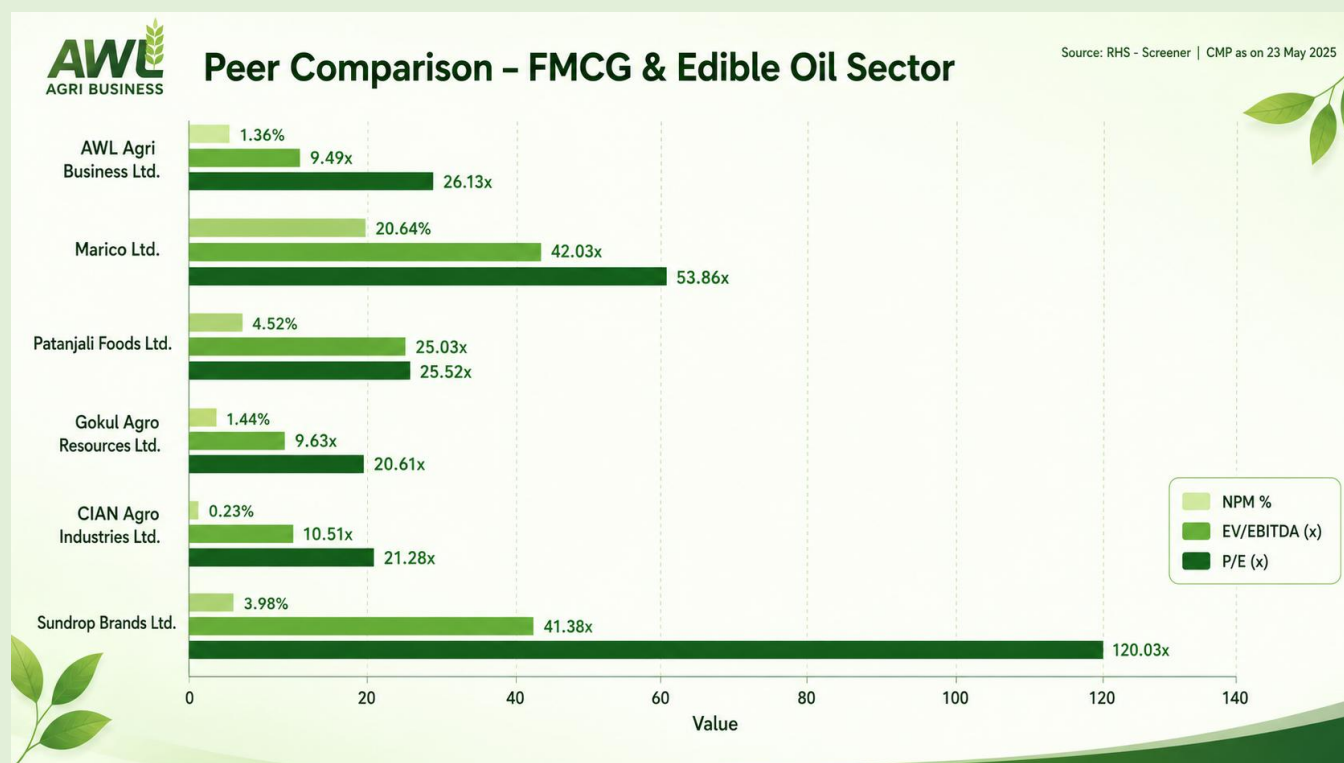
- The shareholding pattern of AWL Agri Business Limited witnessed a significant structural shift during the observed period from Mar-25 to Mar-26, with promoter stake declining from 74.36% to 56.94%.
- Promoters & Promoter Group reduced their combined stake by ~17.4 percentage points over the year — from 74.36% (Mar-25) to 56.94% (Mar-26) — most likely reflecting a partial stake divestment by one of the JV promoter entities (Adani Group or Wilmar International).

- Public shareholding rose correspondingly from 25.30% to 42.61%, suggesting a broader institutional and retail investor participation post stake sale, which may improve secondary market liquidity and free float.
- ESOP pool marginally increased from 0.34% to 0.45% in Mar-26, indicating incremental employee stock option grants aligned with performance incentivisation.
- Despite the stake reduction, promoters continue to hold a majority of 56.94%, maintaining effective strategic control over business decisions and reflecting continued long-term commitment to the company's growth.
- The increased public float (42.61%) could support index inclusion momentum and attract wider institutional coverage, a potential positive catalyst for the stock.

5. Peers Comparison:

Source: bseindia.com, nseindia.com

Company	NPM %	EV/EBITDA	P/E	CMP (₹)
AWL Agri Business Ltd.	1.36%	9.49x	26.13x	197.50
Marico Ltd.	20.64%	42.03x	53.86x	810.00
Patanjali Foods Ltd.	4.52%	25.03x	25.52x	426.00
Gokul Agro Resources Ltd.	1.44%	9.63x	20.61x	222.07
CIAN Agro Industries Ltd.	0.23%	10.51x	21.28x	1,694.15
Sundrop Brands Ltd.	3.98%	41.38x	120.03x	665.70



Key Observations:

- AWL Agri Business Limited trades at EV/EBITDA of 9.49x and P/E of 26.13x — modest multiples relative to branded FMCG peers, reflecting the commodity-linked nature of its revenue profile and thin absolute margins.
- Marico Limited commands the highest NPM (20.64%) and premium valuations (EV/EBITDA 42.03x, P/E 53.86x) owing to its high-margin, purely branded FMCG portfolio with negligible commodity exposure.
- Patanjali Foods Limited, as the closest business-model peer, trades at P/E 25.52x and EV/EBITDA 25.03x — a moderate premium to AWL, reflecting its improving margin trajectory and branded agri-foods positioning.
- Sundrop Brands reports the most elevated P/E (120.03x), likely driven by a low absolute earnings base rather than premium growth expectations, making it a less meaningful valuation benchmark.
- Gokul Agro Resources and CIAN Agro Industries trade at low EV/EBITDA multiples (9.63x and 10.51x respectively) — comparable to AWL — consistent with their commodity-heavy, low-margin business models.
- The wide NPM dispersion across peers (0.23% to 20.64%) underscores that profitability is the primary driver of valuation premiums. AWL's successful execution of its premiumisation strategy toward branded FMCG could materially re-rate its valuation multiples over the medium term.

6. Valuation Summary:

Source: Financial Model

DCF Valuation

- A Discounted Cash Flow (DCF) valuation has been performed for AWL Agri Business Limited using a 10-year FCFF forecast period (FY26–FY35) along with terminal value estimation under the Gordon Growth Model and EV/EBITDA Exit Multiple approach.
- The valuation model assumes a WACC of 12.23% (derived using target capital structure, levered beta of 1.021, risk-free rate of 6.89%, and equity risk premium of 4.40%) and a terminal growth rate of 4.0%. Revenue is projected to increase from ₹63,672 Cr in FY25 to ₹2,05,536 Cr by FY35, reflecting stable long-term growth driven by volume expansion, premiumisation of branded FMCG, and penetration in Tier 2/3 markets.
- Projected FCFF is expected to strengthen over the forecast period, driven by improving EBITDA margins, disciplined capex, and efficient working capital management.
- The present value of forecasted FCFF stands at approximately ₹11,443.91 Cr, while the present value of terminal value is estimated at ₹12,881.01 Cr, resulting in total operating asset value of ₹24,324.92 Cr.
- After adjusting for cash & financial assets of ₹2,647.13 Cr and debt/minority interest of ₹1,711.95 Cr, the estimated equity value comes to ₹25,260.10 Cr. Based on 129.97 Cr shares outstanding, the intrinsic value per share is:

DCF Fair Value per Share: ₹193.84

- Compared to the current market price of ₹183.20, the DCF valuation indicates a marginal potential upside of ~5%, suggesting that the stock is trading near its intrinsic value under base case assumptions.

Sensitivity Analysis (WACC vs Terminal Growth Rate):

WACC/GROWTH	3.00%	3.50%	4.00%	4.50%	5.00%
10.00%	250.20	258.85	268.94	280.87	295.17
11.00%	220.05	226.09	233.00	240.97	250.28
12.49%	185.85	189.62	193.84	198.58	203.95
13.50%	167.69	170.52	173.64	177.11	180.99
14.50%	152.54	154.71	157.08	159.69	162.58

- The valuation is sensitive to WACC and terminal growth assumptions. At 10% WACC with 5% TGR, the fair value rises to ₹295.17/share; at 14.5% WACC and 3% TGR, it declines to ₹152.54/share.
- Under the base case (12.49% WACC, 4.0% TGR), the fair value is ₹193.84/share, consistent with the current market price — indicating fair valuation at present levels.

Relative Valuation

- The relative valuation analysis compares AWL with major FMCG and edible oil peers using EV/Revenue, EV/EBITDA, and P/E multiples with median peer multiples applied.
- Based on median peer multiples, the implied fair value per share is estimated as follows:
- EV/Revenue:** ₹958.03 per share (significant premium driven by high-margin branded peers)
- EV/EBITDA:** ₹477.73 per share (above CMP, reflecting valuation upside on EBITDA basis)
- P/E Multiple:** ₹187.65 per share (close to CMP, reflecting fair valuation on earnings)
- The wide range in implied values reflects the heterogeneous peer group — inclusion of high-margin branded FMCG players like Marico skews the median upward; AWL's edible oil-heavy revenue makes pure peer comparisons complex.

Valuation Summary & Recommendation

DCF Target Price ₹193.84	Relative Val. Range ₹188 – ₹958	Current Market Price ₹183.20
Overall Fair Value (P/E & DCF Basis): ~₹188 – ₹200		Recommendation: BUY

AWL Agri Business Limited is currently trading close to its DCF-derived intrinsic value of ₹193.84/share, with minimal premium to book and a P/E of ~23x — broadly in-line with value-oriented FMCG and commodity food peers. The DCF model assigns a BUY recommendation with modest upside from current levels. However, investors with a growth-oriented view may benefit from: (i) successful premiumisation of branded portfolio, (ii) expansion of food & FMCG revenue share, (iii) margin recovery as edible oil commodity cycles normalise, and (iv) improved operational efficiency through Adani Group's logistics and distribution ecosystem. Accordingly, we maintain a 'BUY' recommendation for long-term investors with a 12–18 month investment horizon.

7. Technical Analysis:

Source: TradingView.com



Key Observations:

- AWL Agri Business Limited has witnessed a strong recovery trend in recent trading sessions after consolidating at lower levels for an extended period. The stock has gradually moved higher with a pattern of higher highs and higher lows, indicating improving short-term momentum and renewed buying interest.
- At the current market price of around ₹197–₹198, the stock is trading near its immediate resistance zone. Recent price action suggests consolidation near the highs after a sharp upward move, which typically reflects strength and healthy absorption of selling pressure.
- Key technical levels to watch include immediate support around ₹195–₹196, followed by a stronger support zone near ₹192–₹193. On the upside, resistance is visible around ₹198–₹199, and a sustained breakout above this range could trigger further momentum toward the ₹205–₹210 zone.
- Volume activity has remained healthy during major upward moves, with noticeable spikes accompanying breakout candles. This indicates strong market participation and gradual accumulation by traders and investors, supporting the ongoing bullish setup.
- Overall, the short-term technical outlook remains positive with consolidation near higher levels, while the broader trend appears constructive as long as the stock sustains above its key support zones.

8. Conclusion:

AWL Agri Business Limited stands as India's leading integrated edible oil and food FMCG company, backed by the Fortune and Kohinoor brand franchises, a pan-India distribution network reaching over 1.6 million retail outlets, and a vertically integrated farm-to-fork supply chain. The company's unique positioning as a bridge between commodity-scale operations and branded consumer goods provides it with a structural advantage in India's large and growing staples market.

The financial analysis reveals a significant earnings turnaround in FY25, with net profit recovering sharply to ₹1,224.81 Crores from ₹148 Crores in FY24 — driven by normalisation of raw material costs (primarily edible oil prices), improved branded product mix, and operating leverage across the integrated business. Revenue growth of 24.2% YoY to ₹63,672 Crores, combined with EBITDA margin expansion to 3.9%, signals improving business fundamentals. The balance sheet remains healthy with a low leverage ratio (total debt ₹1,711.83 Cr against equity ₹9,423.92 Cr), strong promoter holding of 87.94%, and healthy operating cash flows of ₹2,149.69 Crores in FY25.

Peer comparison reveals that AWL currently trades at modest valuation multiples (EV/EBITDA 9.49x, P/E 23.38x) relative to high-margin branded FMCG peers like Marico, reflecting the commodity-linked nature of its revenue base. However, as the company accelerates its premiumisation strategy, expands the food & FMCG portfolio, and improves contribution from value-added products, there exists a meaningful valuation re-rating opportunity over the medium term.

From a valuation perspective, the DCF analysis estimates a fair value of ₹194.35/share — representing a marginal ~2% upside from the current market price of ₹190.50. The stock appears fairly valued on DCF and P/E basis, while offering significant upside on a relative EV/EBITDA basis if premium peer multiples are applied. The sensitivity analysis indicates a valuation range of ₹150–₹284/share under varying WACC and growth scenarios.

Overall, considering the company's improving fundamentals, strong brand equity, scale advantage, low leverage, healthy cash flows, and the ongoing business transformation toward value-added foods, we maintain a 'BUY' recommendation from a long-term fundamental investment perspective at current market levels, with a 12–18 month target price of ₹194–₹200/share based on the DCF base case.